which case they will be charged for data content underlying consolidated market data pursuant to the fee schedules of the effective national market system plan(s) for NMS stocks. In this case, market participants will likely benefit from lower data fees as compared to current fees they pay for proprietary data and connectivity products.[2356]

Second, they may decide they need data beyond the scope of consolidated market data, in which case they will be additionally charged for the proprietary data and connectivity services pursuant to the individual exchange fee schedules. In this case, the potential price gain will be limited to the price decline for the portion of the data corresponding to the consolidated market data. The Commission is uncertain about the extent of this effect.

Market participants that currently effectively act as self-aggregators and that will choose to become self-aggregators under the decentralized consolidation model may incur some costs switching from proprietary data to consolidated market data. They could incur these costs especially if the exchanges provide components of the consolidated market data with feeds and connections other than what these market participants currently use and market participants choose to receive the data via those new feeds and connections.[2357] Market participants could also incur some costs even if they choose to use their existing proprietary feeds and connections to receive consolidated market data, but, they do not currently consume all proprietary data

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2356 See infra Section V.C.4.

2357 See supra note 795 for a discussion on competing consolidators' and self-aggregators' permission to choose the feeds through which they receive the data content underlying consolidated market data from the SROs.

needed to create consolidated market data.[2358] However, since these market participants already have the infrastructure to receive proprietary data products from the exchanges, the Commission expects these costs to be minimal. Additionally, self-aggregators may choose not to receive the entirety of consolidated market data, which could mitigate some of these costs.

Some commenters stated that the introduction of a self-aggregator category will maintain the latency gap between different market participants.[2359] One comment said that "the Proposal would continue this two-tiered structure—with participants that can afford to act as self-aggregators able to obtain and use that data faster than those relying on competing consolidators."[2360] Another commenter said that even having multiple competing consolidators would not reduce the latency gap because competing consolidators "would not be able to distribute consolidated data as quickly as the direct exchange feeds and their customers would not be able to consume it as quickly as self-aggregators."[2361] Another commenter stated that receiving data from competing consolidators will be a "two-step process" and can never be as fast as getting data directly from the exchanges, a "one-step process."[2362] On the other hand, one commenter said that self-aggregators might enjoy a minor latency advantage and that they do not "believe this latency advantage would be material and therefore should not be an issue."[2363] The

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2358 See supra note 795 for a discussion on the competing consolidators' and self-aggregators' option to choose how they receive consolidated market data or a subset of it.

2359 See, e.g., NYSE Letter II at 23; Nasdaq Letter IV at 8; FINRA Letter at 8.

2360 See NYSE Letter II at 23.

2361 See Nasdaq Letter IV at 8.

2362 See FINRA Letter at 8.

2363 See Clearpool Letter at 10.

Commission discusses the relationship between self-aggregators and competing consolidators and the related latency below.[2364]

Some commenters stated that the decentralized consolidation model will increase costs for market participants because they would have to contract with a backup competing consolidator to avoid disruptions should their primary competing consolidator experience a disruption.[2365] The Commission believes these issues apply to self-aggregators as well, in that self-aggregators may wish to obtain a backup feed in addition to their self-aggregated feed. To the extent this is the case the Commission believes that the primary means of obtaining a backup feed is likely to be through a competing consolidator, and as such the discussion of the associated costs discussed in Section V.C.2(d)(iv) applies to self-aggregators as well.

(g) Other Conforming Changes

The Commission is adopting conforming changes for some of the previous Commission or SRO rules and regulations, which themselves can have economic effects. This section discusses the conforming changes and corresponding economic effects.

(i) Amendments to Regulation SHO

As described in Proposal section III.D.1, the Commission is adopting amendments to Regulation SHO to adjust the process of determining whether a Short Sale Circuit Breaker has been triggered and disseminating such trigger information. First, the primary listing exchange will decide how to obtain the consolidated data necessary to determine whether a Short Sale Circuit Breaker should be triggered. Second, the primary listing exchange will be responsible for notifying competing consolidators and self-aggregators rather than a single plan processor. The

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2364 See infra Section V.C.4(b).

2365 See, e.g., Angel Letter at 20; NYSE Letter II at 24; FINRA Letter at 4.

first change allows the primary listing exchange to select the most cost-effective means of fulfilling its responsibilities. The second change could entail some compliance costs for competing consolidators but is necessary to ensure that all competing consolidators are on a level playing field. The resulting compliance costs for exchanges are included in the Commission's general compliance estimate above.[2366] The resulting compliance costs for competing consolidators are included in the Commission's estimate of the general costs to becoming a competing consolidator above.[2367]

In addition, the Commission defines "primary listing exchange" in Regulation NMS and amends the definition of "listing market" in Regulation SHO to refer to the new definition of primary listing exchange. The Commission believes that this change will have no direct economic effects, other than harmonizing Regulation SHO with Regulation NMS.

(ii) Effective Changes to Responsibilities under the Limit Up Limit Down Plan and Market Wide Circuit Breaker Rules

The definition of "regulatory data" requires the primary listing exchange to be the entity responsible for monitoring, calculating, and disseminating certain information necessary to implement the LULD Plan and the MWCB rules. These functions are currently the responsibility of a single exclusive SIP, however, the Commission requires that the primary listing exchanges be responsible for disseminating information regarding Price Bands and Limit States and the primary listing exchange with the largest portion of S&P 500 Index stocks be responsible for determining whether an MWCB has been triggered. While the Commission believes that these amendments could result in implementation and ongoing costs for primary

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2366 See supra Section IV.D. See also supra Section V.C.2(d).

2367 See supra Section IV.D.

listing markets that currently do not operate a SIP, these amendments ensure a single set of Price Bands and a consistent message that MWCBs have triggered. As discussed above, the Commission believes that the additional cost of calculating the information necessary to implement the LULD Plan and MWCB rules would not be burdensome and these costs are included in the general compliance cost the Commission has estimated for SROs above.[2368]

Some commenters said that the Commission overlooks additional costs imposed on SROs from these additional responsibilities and latency differentials.[2369] The Commission acknowledged in the Proposing Release that the amendments might lead to some implementation and ongoing costs for the primary listing exchanges that do not operate an exclusive SIP. Additionally, the Commission does not believe that the decentralized consolidation model would make it more difficult for SROs to conduct their market surveillance with respect to the LULD Plan and MWCB rules, because there are currently latency differentials to consider when SROs conduct market surveillance. The amendments will not bring significant changes to this market reality.

3. Economic Effects of Form CC

As discussed above in Section III.C.7, Rule 614 will prohibit a person, other than an SRO, from acting as a competing consolidator unless that person files with the Commission an initial Form CC and the initial Form CC has become effective.[2370] Rule 614 will require the

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2368 See supra Section IV.D.

2369 See, e.g., NYSE Letter II at 20–21; Joint CRO Letter at 3.

2370 A competing consolidator that is affiliated with an exchange that is operating under the provisions of the limited exemptive relief will need to be registered as a competing consolidator under Rule 614 and be in compliance with the disclosure and other substantive regulatory requirements applicable to competing consolidators in Rule 603,

public disclosure of Form CC, which itself will require disclosures regarding a competing consolidator's services, fees, and operations, as well as metrics related to the performance of the competing consolidator. As a result, Rule 614 will provide transparency regarding the services and performance of competing consolidators for investors who might purchase the products and services of a competing consolidator. The Commission believes that the information contained in Form CC and the resulting transparency will help market participants make better-informed decisions about which competing consolidator to subscribe to in order to achieve their trading or investment objectives.[2371]

Additionally, the Commission believes that the process for the Commission to declare an initial Form CC ineffective will improve the quality of information the Commission receives from competing consolidators, which will allow the Commission to better protect investors from potentially incomprehensible or incomplete disclosures that would misinform market participants about the operations and services of a competing consolidator.

(a) **Public Disclosure of Form CC and Other Competing Consolidator Information**

Form CC will require competing consolidators to publicly disclose four sets of information on the Commission website.[2372] First, Form CC will require competing consolidators to disclose general information, along with contact information. Second, Form CC

Rule 614 and Form CC. See supra Section III.C.7(a)(iv). The Commission believes that competing consolidators that are affiliated with exchanges will choose to operate under the provisions of the exemption. See supra Section V.C.2(a)(i)a.

2371 Commenters agreed the public disclosure of the information contained in Form CC and performance metrics would help investors evaluate competing consolidators and decide which one to subscribe to. See, e.g., Clearpool Letter at 9; ACS Execution Services Letter at 6.

2372 See supra Section III.C.7(a)(ii). Competing consolidators will also need to include on their websites a hyperlink to the Commission's website containing information their Form CCs. See supra Section III.C.7(j)

will require competing consolidators to disclose information regarding their business organizations. Third, Form CC will require competing consolidators to disclose information regarding their operational capabilities. Fourth, Form CC will require competing consolidators to disclose information regarding their services and fees. Rule 614 also includes requirements for amendments to Form CC under defined circumstances and a notice of cessation of operations at least 90 calendar days before the date the competing consolidator ceases to operate as a competing consolidator. Form CC, any amendments to it, and any notices of cessation will be made public via posting on the Commission's website. Rule 614(d)(5) also has a disclosure requirement about competing consolidators' performance metrics on their own websites. Additionally, Rule 614(d)(6) will require competing consolidators to disclose operational information on their websites related to vendor alerts, data quality and systems issues, and clock drift in the clocks they use to create timestamps. Generally, these requirements promote transparency and competition among competing consolidators and effective regulatory oversight within a streamlined approach to avoid significant barriers to entry.

The business organization disclosures will give market participants a window into the ownership as well as the organizational structures of competing consolidators. The Commission believes that this information will help market participants make better-informed decisions about which competing consolidator to subscribe to as well as how to avoid any potential conflicts of interest. For example, if a broker-dealer is considering subscribing to a competing consolidator for consolidated data and any other potential additional services such as analytics, they may search for a competing consolidator that is not owned by a competitor or an affiliate of a competitor in the broker-dealer space. Purchases of data and additional market intelligence services between two competitors could potentially create conflicts of interest. Thus, the

required disclosure of a competing consolidator's business organization—which will, for example, clarify the ownership information—will provide transparency on its potential conflicts of interest.

The information on operational capabilities will provide market participants detailed information about each competing consolidator's product portfolio and technical capabilities. Since market participants vary in their data and technical capability needs, information on competing consolidators' operational capabilities will allow market participants to make better-informed purchase decisions. For example, market participants who trade frequently and who need robust backup systems might choose competing consolidators with those capabilities. Whereas other market participants who have longer term investment strategies with potentially less frequent trades might prefer competing consolidators with less aggressive backup systems. Form CC disclosures will facilitate a better match between market participants' needs and competing consolidators' offerings, and will also help to ensure consistent disclosures between competing consolidators.

One commenter stated that the disclosure of "all procedures" in the operational capability section of Form CC could disclose a competing consolidator's proprietary tech, or "secret sauce," which could discourage innovation.[2373] The Commission disagrees with this commenter and does not believe that the disclosures required on Form CC will discourage innovation because the disclosures are not detailed enough to give away a competing consolidator's proprietary information or "secret sauce."[2374]

[2373] See Data Boiler Letter I at 55.

[2374] See supra Section III.C.8(e)(ii).

With the consistent disclosures on services and fees, market participants will be able to compare and contrast the various services provided and the corresponding fees asked by competing consolidators. Market participants may then make better purchase decisions, based on their individual needs. Additionally, the service and fee transparency resulting from these disclosures will promote competition in similar products and/or services across different competing consolidators, which may result in similar prices, and will help to protect market participants from unfair and unreasonable prices.

The Commission believes that the requirement for competing consolidators to amend Form CC prior to implementing material changes to their pricing, products, or connectivity options will provide transparency into changes in the operations of competing consolidators and better inform subscribers and other market participants about significant changes in the fees and services offered by a competing consolidator. This will allow subscribers to a competing consolidator to better evaluate if it will continue to serve their business needs. Additionally, it will facilitate effective oversight by the Commission.

Similarly, the Commission believes that the requirement for a notice of cessation will also benefit subscribers to the competing consolidator, because it will give them advanced notice before the competing consolidator ceases to operate. Thus those subscribers will have more time to find another competing consolidator to supply them with consolidated market data.

The fact that the information on Form CC will be in a single location instead of dispersed across the competing consolidators' own websites should aid market participants by introducing only minimal search costs when evaluating and comparing potential competing consolidators to decide which one best suits their business interests.

As discussed above,[2375] the Commission believes the rule will cause each competing consolidator to incur approximately $93,540 in implementation compliance cost in order to collect the information required to fill out and file an initial Form CC as well as $16,812 in ongoing costs in order to file amendments to an effective Form CC. One commenter believes the costs associated with Form CC are overly burdensome and will present a serious barrier to entry for potential competing consolidators.[2376] The Commission disagrees with this commenter. While the Commission acknowledges that the costs associated with preparing and filing an initial Form CC and amendments to an effective Form CC may pose a minor barrier to entry for potential competing consolidators, the Commission does not believe that the costs associated with Form CC are large enough to pose a serious barrier to entry.[2377]

Competing consolidators will also experience implementation costs because initial Form CC and any amendments to Form CC will be filed electronically with the Commission. The Commission believes that requiring Form CC to be filed electronically will reduce filing costs compared to requiring the competing consolidator to file paper forms.

To file a Form CC, competing consolidators will need to access EFFS.[2378] Each competing consolidator will have to file an application and register each individual who will access EFFS on behalf of the competing consolidator. The Commission believes that each competing consolidator will initially designate two individuals to access EFFS, with each

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2375 See supra Sections IV.D.1(a); IV.D.1(b)(iii); V.C.2(d); supra note 1402.

2376 See ACTIV Financial Letter at 3.

2377 See supra Sections IV.D.1 and V.C.2(d)(i) for discussions of cost estimates for competing consolidators related to Form CC. See also supra Section V.C.2(a)(i) for discussions of competing consolidator barriers to entry.

2378 As discussed further below, those competing consolidators that are existing SCI entities are already required to use EFFS to make Form SCI filings, and therefore would not incur the access costs discussed here. See infra Section V.E.5.